



The EEC and Euratom had their own councils and executive bodies. But due to reservations among some states about the supranational powers of the HA, these executives had more limited powers, and their councils greater powers, than in the case of the ECSC. Rather than “high authorities,” the new executives were “commissions.” The scope of the Court of Justice of the ECSC was expanded to include both the EEC and Euratom. The Common Assembly was also shared across the three communities and became the European Parliament.

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A condition of the success of [the European] experiment is that there should be a body whose task is to ensure that the rules are the same for everyone.

Judge David Edward

European Court of Justice (1992–2004)

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The Treaty of Rome, creating the European Economic Community, was signed on March 25, 1957, by delegates of France, West Germany, Italy, Belgium, the Netherlands, and Luxembourg.

Further integration

The creation of the EEC was a watershed moment. Never before had a major group of nations pooled resources so freely. Members were still hesitant about further political integration, but legal integration proceeded apace, with the ECJ making many key decisions throughout the 1960s.

In 1965, the Merger Treaty (also known as the Treaty of Brussels) was signed, coming into force in 1967. It merged the executives and councils of the ECSC, EEC, and Euratom: collectively, the three were now known as the European Communities (EC). The executive became the Commission of the European Communities.

The UK had previously declined to join any of the communities but had a change of heart after fearing economic isolation. It first applied to join the EEC in 1963, then again in 1967, but both attempts were blocked by French president Charles de Gaulle, who saw the economic union from a firmly nationalist point of view—as a vehicle for French economic interests—and wanted no further integration or expansion.

When de Gaulle resigned in 1969, French opposition to UK membership softened. Germany was going through a remarkable economic recovery, and the UK, then in a contrastingly poor state, was finally admitted to the EC in 1973, along with Denmark and Ireland. However, this expansion came just before a massive oil price hike initiated by OPEC (Organization of the Petroleum Exporting Countries) in the fall of 1973, creating a

dramatic downturn in Europe's economic fortunes. Many Europeans felt that the only way to counter the two global superpowers—the US and the Soviet Union (USSR)—was to build a more connected Europe.

The European Parliament first held direct elections in 1979 and made Simone Veil of France its president. Greece joined the EC in 1981, with Spain and Portugal following in 1986. In 1985, 5 of the 10 member countries agreed at Schengen in Luxembourg to abolish border checks. Other countries signed up later, and by 1997, 26 European states were party to the Schengen Agreement.

The UK remained aloof from Schengen, and Prime Minister Margaret Thatcher opposed further economic integration. But change occurred in 1985, when Englishman Arthur Cockfield became vice president of the Commission of the European Communities, under its French president Jacques Delors.

Van Gend en Loos v. the Netherlands

One landmark ruling made by the European Court of Justice (ECJ) was in the case of *Van Gend en Loos v. Netherlands Inland Revenue Administration* in 1963. Van Gend en Loos, a Dutch company, transported formaldehyde from Germany to the Netherlands. The Dutch charged a tariff on this import, in breach of Common Market rules. The ECJ ruled that Van Gend en Loos could recover the tariff. This established the key principle of “direct effect,” whereby courts of member states are bound to recognize the rights conferred by the European Community.